Higher National Diploma in Accountancy
First Year, Second Semester Examination – 2022
DA1242 · Business Law

Instructions for Candidates:
Answer four (04) questions only
All questions carry equal marks

No. of questions : 05
No. of pages : 02
Time: **Two (02) hours**

QUESTION 01

i. Define the term law and write two functions of Law. (6 Marks)
ii. Discuss territorial law and personal law with examples. (6 Marks)
iii. Name 03 powers of each Supreme court and the District Court (6 Marks)
iv. Mr. Dhammika introduces a new medicine called the '*Dhammika Paniya*' which is said to cure COVID-19. He further states that if anyone follows his instructions and still contracts the disease, he will give Rs.100,000 out of an account which he set up solely for this purpose. Pavithra uses the medicine and still contracts COVID-19. Does Pavithra have any legal recourse? Answer utilizing the case law learnt in class. (7 Marks)

offer for unilateral

(25 Marks)

QUESTION 02

Discuss whether there is a valid contract in the scenarios given below. Provide the reasons for your answer.

i. Adhnan tells Hasna to remain silent if she agrees to his offer. Fetherwvs Bach.
ii. Hasna promises to sell her mother's car to Tharif for Rs. 60/-. Hasna is 12 years old. minor Unilateral cont.
iii. Saumya is threatened by a local politician to sell her land. She sells her land to him. void.
iv. Pranceth sells his car to Umariya for Rs.5 million ∈ contract
v. Jeena promises her friend to sell a vehicle which she was stolen from Raju. ← void.

(5x5=25 Marks)

QUESTION 03

a.

i. What is meant by agency? (2 Marks)
ii. List four duties of an agent (4 Marks)
iii. What are the requirements to create agency by necessity? (7 Marks)

b.

i. What is the applicable law in relation to negotiable instruments? (2 Marks)
ii. What is the difference between a cheque and a bill of exchange? (4 Marks)
iii. Discuss the types of endorsements (6 Marks)

(25 Marks)

QUESTION 04

i. What is meant by uberrima fidei in law of insurance? (3 Marks)
ii. Discuss insurable interest in relation to life insurance (3 Marks)
iii. Name two sectors of employment and applicable labour Acts respectively for the named sectors. (3 Marks)
iv. Yohani, a Receptionist at a Citrus Hotel is due to give birth to her 3rd child. She wants to know her maternity leave entitlement. (3 Marks)
v. What is the contribution for Employees Trust Fund and Employees Provident Fund from the employer? (3 Marks)

vi. What are the main objectives of the Computer Crimes Act? (3 Marks)
vii. List 03 advantages of electronic transactions. (3 Marks)
viii. State 04 fundamental rights mentioned in in Lankan Constitution. (4 Marks)

(25 Marks)

QUESTION 05

i. Discuss the elements for the sales of goods contract. (5 Marks)
ii. Discuss the implied conditions in the Sales of Goods contract to the contract of sale. (5 Marks)
iii. Give 05 reasons to protect Intellectual properties. (5Marks)

iv. Discuss moral rights and economic rights in relation to copy rights. (5 Marks)

v. List 02 functions of Auditor General (5 Marks)

(5x5=25 marks)